What is 'New Regime'?

Ans. New regime provides for concessional tax rates and liberal slabs. However, no deductions are allowed in thee new regime (other than those specified for e.g. 80JJAA, 80M, standard deduction).

What are the new slabs in the proposed new regime introduced by Finance Bill, 2025?

Ans. The new slabs proposed are as under:

Sl.No.	Total Income (Rs. In lacs)	Rate of tax u/s 115BAC (1A)
1.	0- 4	0%
2.	4-8	5%
3.	8-12	10%
4.	12-16	15%
5.	16—20	20%
6.	20-24	25%
7	More than 24 Lacs	30%

What is the maximum total income for which tax liability for individual taxpayers is NIL.

Ans. In the proposed new tax regime, the maximum total income for which tax liability for individual taxpayers is NIL is Rs. 12 lakhs.

To claim benefit of NIL tax liability men□oned above, what are the steps required to be taken?

Ans. The benefit of such Nil tax liability men□oned above is available only in the new tax regime. This New tax regime is the default regime. To avail the benefit of rebate allowable under proposed provisions of new tax regime, only return is to be filed otherwise no other step is required to be taken.

How will a person who has an income Rs 12 lac benefit from new rates?

Ans. Any individual earlier was required to pay a tax of Rs 80,000 (in the new regime) for an income of Rs. 12 lacs. Now he will be required to pay nil tax on such income.

Is the standard deduction on salary available in the new regime?

Ans Yes, a standard deduction of Rs. 75,000 is available to a tax payer in the new regime. Therefore, a salaried tax payer will not be required to pay any tax where his income before standard deduction is less than or equal to Rs 12,75,000.

Whether special income having special rate such as capital gains, lottery etc. also be eligible for rebate?

Ans. No, rebate is not available on income from capital gains or lotteries or any other income on which special rate has been provided in the Act. It is available only on the tax payable as per slabs under secton 115BAC.

What is considered as salary income?

Section 17 of the Income-tax Act defines the term ‘salary’. However, not going into the technical definition, generally whatever is received by an employee from an employer in cash, kind or as a facility [perquisite] is considered as salary.

What are allowances?

Allowances are fixed periodic amounts, apart from salary, which are paid by an employer for the purpose of meeting some particular requirements of the employee. E.g., Tiffin allowance, transport allowance, uniform allowance, etc.

There are generally three types of allowances for the purpose of the Income-tax Act - taxable allowances, fully exempted allowances and partially exempted allowances.

Perquisites are benefits received by a person as a result of his/her official position and are over and above the salary or wages. These perquisites can be taxable or non-taxable depending upon their nature. Uniform allowance is exempt to the extent of expenditure incurred for official purposes u/s 10 (14).

My employer reimburses to me all my expenses on grocery and children’s education. Would these be considered as my income?

Yes, these are in the nature of perquisites and should be valued as per the rules prescribed in this behalf.

During the year I had worked with three different employers and none of them deducted any tax from salary paid to me. If all these amounts are clubbed together, my income will exceed the basic exemption limit. Do I have to pay taxes on my own?

Yes, you will have to pay self-assessment tax and file the return of income.

Even if no taxes have been deducted from salary, is there any need for my employer to issue Form-16 to me?

Form-16 is a certificate of TDS. In your case it will not apply. However, your employer can issue a salary statement.

Is pension income taxed as salary income?

Yes. However, pension received from the United Nations Organisation is exempt.

Is Family pension taxed as salary income?

No, it is taxable as income from other sources.

If I receive my pension through a bank who will issue Form-16 or pension statement to me- the bank or my former employer?

The bank.

Are retirement benefits like PF and Gratuity taxable?

In the hands of a Government employee Gratuity and PF receipts on retirement are exempt from tax. In the hands of non-Government employee, gratuity is exempt subject to the limits prescribed in this regard and PF receipts are exempt from tax, if the same are received from a recognised PF after rendering continuous service of not less than 5 years.

No exemption shall be available for the interest income accrued during the previous year in the recognised and statutory provident fund to the extent it relates to the contribution made by the employees over Rs. 2,50,000 in the previous year.

However, if an employee is contributing to the fund but there is no contribution to such fund by the employer, then the interest income accrued during the previous year shall be taxable to the extent it relates to the contribution made by the employee to that fund in excess of Rs. 5,00,000 in a financial year.

The CBDT vide notification no 95/2021, dated 31-08-2021, has notified Rule 9D for calculation of taxable interest relating to contribution in a provident fund or recognised provided fund, exceeding above specified limit.

Are arrears of salary taxable?

Yes. However, the benefit of spread over of income to the years to which it relates to can be availed for lower incidence of tax. This is called as relief u/s 89 of the Income-tax Act.

Can my employer consider relief u/s 89 for the purposes of calculating the TDS from salary?

Yes, if you are a Government employee or an employee of a PSU or company or co-operative society or local authority or university or institution or association or body. In such a case you need to furnish Form No. 10E to your employer.

My income from let out house property is negative. Can I ask my employer to consider this loss against my salary income while computing the TDS on my salary?

Yes but only to the extent of Rs. 2 lakh, however, losses other than losses under the head 'Income from house property' cannot be set-off while determining the TDS from salary.

Is leave encashment taxable as salary?

It is taxable if received while in service. Leave encashment received at the time of retirement is exempt in the hands of the Government employee. In the hands of non-Government employee leave encashment will be exempt subject to the limit prescribed in this behalf under the Income-tax Law.

Are receipts from life insurance policies on maturity along with bonus taxable?

As per section 10(10D), any amount received under a life insurance policy, including bonus is exempt from tax. However, following receipts would be subject to tax:

(A) Any sum received under sub-section (3) of section 80DD; or

(B) Any sum received under Keyman insurance policy; or

(C) Any sum received in respect of policies issued on or after April 1st, 2003, in respect of which the amount of premium paid on such policy in any financial year exceeds 20% (10% in respect of policy taken on or after 1st April, 2012) of the actual capital sum assured; or

(D) Any sum received for insurance on life of *specified person (issued on or after April 1st 2013) in respect of which the amount of premium exceeds

15% of the actual capital sum assured.

* Any person who is –

i) A person with disability or severe disability specified under section 80U; or

ii) suffering from disease or ailment as specified in the rule made under section 80DDB.

(E) Any sum received from an life insurance policy (other than a unit linked insurance policy issued on or after 01-04-2024 if the amount of premium payable for any previous years during the term of policy exceeds Rs. 5 lakh.

Following points should be noted in this regard:

- Exemption is available only in respect of amount received from life insurance policy.
- Exemption under section 10(10D) is unconditionally available in respect of sum received for a policy which is issued on or before March 31, 2003.
- Amount received on the death of the person will continue to be exempt without any condition along with the life insurance policy issued by IFSC insurance office including the amount given as bonus.

What is the taxability of ex-gratia received from employer?

If a person or his heir receives *ex-gratia* from Central govt/state govt/ local authority/Public Sector Undertaking due to injury to the person/death **while on duty** such ex-gratia payment will not be taxable.

Where is House Rent allowance (HRA) to be reflected while filing income-tax return (ITR)?

The amount of HRA is required to be disclosed in the ITR under the column allowances to the extent exempt under section 10. section 10(3A) is the relevant section under which the amount of exempt HRA to be shown.

What is the taxability of House Rent allowance (HRA)?

Least/minimum of the following is exempt (Not taxable/deducted from total HRA received)

(a) Actual amount of HRA received

(b) Rent paid Less 10% of salary

(c) 50% of salary if rented accommodation is situated at Kolkata, Chennai, Mumbai and Delhi

or

40 % of salary if the rented accommodation is situated at other than Kolkata, Chennai, Mumbai and Delhi.

In case of no rent is paid then exemption will be zero.

Click here to calculate taxability of House Rent Allowance

What is the taxability of Fixed Medical allowance?

Medical allowance is a fixed allowance paid to the employees of a company on a monthly basis, irrespective of whether they submit the bills to substantiate the expenditure or not. It is fully taxable in the hands of employee.

What is the taxability of Conveyance allowance?

As per section 10(14) read with Rule 2BB Conveyance allowance is exempt to the extent of amount received or amount spent, whichever is less. For e.g., If amount received is Rs. 100 and amount spent is Rs. 80, then only Rs. 20 is taxable. However, if amount actually spent is Rs. 100; then nothing is taxable.

Is standard deduction applicable to all the salaried person whether he is an employee of Central or State Government?

The standard deduction is allowed while computing income chargeable under the head salaries. It is available to all class of employees irrespective of the nature of employer. Standard Deduction is also available to pensioners. Amount of Standard Deduction is Rs. 50,000 or amount of salary/pension, whichever is lower.

Note 1: The standard deduction under section 16(ia) is available only for Pension Chargeable under the head "Income under the head Salaries" and not for Pension chargeable under "Income from Other Sources".

Note 2: The standard deduction for employees paying tax under the new tax regime under section 115BAC(1A)(iii) is increased from Rs. 50,000 to Rs. 75,000 for Assessment Year 2025-26

Is transport allowance can be claimed as exemption by an employee?

Exemption of transport allowance of Rs. 1600 p.m granted to an employee is discontinued with effect from A.Y 2019-20.

However, exemption of transport allowance of Rs. 3200 p.m granted to an employee who is blind or deaf and dumb or orthopaedically handicapped is still available.

Is standard deduction applicable to family pensioners?

Section 16(ia) has been introduced by Finance Act, 2018 for class of person whose income is chargeable to tax under head salary. Family Pension is taxable under the head income from other sources. Hence standard deduction is not applicable in case of Family Pension.

Mr. X having Gross Salary of Rs. 7,00,000 during the previous year 2024-25. Compute the standard deduction allowable to him?

Standard deduction is allowable to the extent of :

a) Rs. 50,000 or

b) Amount of Salary, whichever is lower

In this case standard deduction of Rs. 50,000 is allowable to Mr.X.

However, a higher standard deduction of Rs. 75,000 is available if Mr. X chooses the default tax regime available under section 115BAC.

What is Form 12BB?

As per RULE - Rule 26C of the Income Tax Rules - Form No. 12BB is required to be furnished by an employee to his employer for estimating his income or computing the tax deduction at source.

An assessee shall furnish evidence or particulars of the claims, such as House Rent Allowance, Leave Travel concession, Deduction of Interest under the head " Income from house property" and deductions under Chapter-VIA in Form No. 12BB for estimating his income or computing the tax deduction at source.

When relief under section 89 of the Income Tax Act is available? Relief under section 89 is available to an individual if he has received

- Salary or family pension in arrears or in advance [Rule 21A (2)]
- Gratuity in excess of exemption under section 10(10)(ii)/(iii) [Rule 21A(3)]
- Compensation on termination of employment [Rule 21A(4)]
- Commuted pension in excess of exemption under section 10(10A)(i) [Rule 21A(5)]

In case of payment received other than above CBDT can allow relief under section 89 after examining each individual case. [Rule 21A (6)]

What is the effective date of enhancement of limit of gratuity from Rs 10 lakh to 20 lakh for purpose of tax exemption computation under section 10(10)(ii)?

The exemption limit under section 10(10)(ii) for the employees, who are covered under Payment of Gratuity Act, 1972, has been enhanced from Rs. 10,00,000 to Rs. 20,00,000 vide notification S.O. 1420 (E) dated 29 March 2018 notified by Ministry of Labour and Employment. The exemption limit under section 10(10)(iii) for the employees, who are not covered under the Payment of Gratuity Act, 1972, is Rs. 20,00,000 as enhanced by Notification No. SO 1213(E), dated 08-03-2019.

Who should pay the medical insurance premium to claim deduction under Section 80D?
To claim deduction under Section 80D, the **medical insurance premium must be paid by the employee and not be employee's father,** mother or spouse.

For whom can the medical insurance premium be paid?
The employee can pay the premium for:

- Self
- Spouse
- Children
- Parents

From which account should the payment be made?
The premium must be paid **from the employee's own bank account, credit card, or debit card**.

Is deduction allowed if the premium is paid by parents or spouse?
❌ **No.**
If the premium is paid by **parents, spouse, or any other person**, the employee **cannot claim the deduction** in their tax computation.

2️⃣ Mutual Fund Investments (Section 80C)

Do all mutual funds qualify for deduction under Section 80C?
❌ **No.**
Not all mutual fund investments are eligible for deduction under Section 80C.

Which mutual funds are eligible under Section 80C?
✅ Only **Equity Linked Savings Schemes (ELSS)** qualify for deduction under Section 80C.

Which mutual funds are NOT eligible for Section 80C deduction?
The following do **not** qualify:

- Debt mutual funds
- Hybrid mutual funds
- Index funds *(unless specifically classified as ELSS)*

Previous Employer Salary Details

Is it mandatory to submit previous employer salary details?
✅ **Yes.**
Employees who have worked with another employer during the same financial year must provide previous employer salary details.

Why are previous employer details required?
This is required to:

- Accurately compute **total taxable income**
- Avoid **shortfall or excess deduction of TDS**

What documents need to be submitted for previous employer?
Employees should submit:

- **Form 12B** (salary details from previous employer)
- **Latest payslips**
- **Form 16** (if available)

Can I claim home loan interest deduction in the new regime?

Property Type	Interest Deduction in New Regime	Set off Against Other Income
Self-Occupied	Not Allowed	Not Applicable
Let-Out	Full Interest Allowed	No, only against House Property income

Section 80C

Particular	Old Regime	New Regime
Section 80 C-Principal Repayment	Available up to INR 1.5 Lakhs	Not Available

Documents required for let out :

a) Loan Sanction Letter
b) Repayment Schedule

Can I claim home loan interest deduction in the new regime?

You're eligible to deduct the interest on your home loan as per Section 24 of the Income Tax Act. This deduction applies to the interest paid on a loan taken for building, rebuilding, repairing, buying, or renovating your home.

When filling out Form 12BB, you need to provide the following details:

- The interest you paid or payable to the lender during the financial year along with name, address and PAN/Aadhaar number of the lender

There are various other tax saving benefits of a home loan:

- Interest Payment: Deduct interest paid on loans for purchase, construction, renovation, or repair (up to Rs. 2 lakh for self-occupied property, entire amount for rented property).
- Principal Repayment: Deduct up to Rs. 1.5 lakh under Section 80C (valid for both self-occupied and rented property).
- Deduction for First-Time Buyers:

a) Section 80EE: Up to Rs. 50,000 additional deduction for loans below Rs. 35 lakh on properties under Rs. 50 lakh (valid for loans sanctioned till March 31st, 2017).

b) Section 80EEA: Up to Rs. 1.5 lakh additional deduction for loans on properties with stamp duty value below Rs. 45 lakh (valid for loans sanctioned between April 1st, 2019, to March 31st, 2022).

Evidence Required to be Submitted in old regime:

Interest Certificate: From your lender, showing interest paid and loan type.

Possession/Completion Certificate: For new or renovated properties.

Self-Declaration: Whether the property is self-occupied or rented.

Donations under section 80G

Charitable donations made can be claimed as a deduction under section 80G on satisfaction of conditions specified.

Investment Proof:

- Valid receipts for the donations made that qualify for deduction under this section.
- Receipts should be in the name of the employee.

What if I dont file form 12BB with the employer on time?

More TDS would be deducted by the employer, resulting in less take home. This TDS can still be claimed while filing ITR if the investments/ expenses are made.

What is the purpose of an investment declaration?

Employees have to submit a declaration of deductions and exemptions that they want to claim. The employer will deduct TDS from the employee's salary on the basis of these declarations. These investments are generally required to be declared on the employer's HR portal.

Is it mandatory to submit Form 12BB?

Form 12BB ensures that the correct amount of tax is deducted from the employee's salary and is mandatory for salaried individuals to submit the form to claim tax deduction on expenses and investments made for the particular financial year. But it is not mandatory.

I could not declare my investments on time and my employer deducted excess TDS. What should I do?

You can claim a refund of the excess TDS deducted by filing your income tax return. But your ITR should match with Form 16 as it may trigger tax department scrutiny